



Cambridge IGCSE™

ACCOUNTING

0452/23

Paper 2

May/June 2021

MARK SCHEME

Maximum Mark: 100

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2021 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **16** printed pages.

PUBLISHED**Generic Marking Principles**

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptors for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always **whole marks** (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen).

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

PUBLISHED**Social Science-Specific Marking Principles
(for point-based marking)****1 Components using point-based marking:**

- Point marking is often used to reward knowledge, understanding and application of skills. We give credit where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. We do not give credit where the answer shows confusion.

From this it follows that we:

- a** DO credit answers which are worded differently from the mark scheme if they clearly convey the same meaning (unless the mark scheme requires a specific term)
- b** DO credit alternative answers/examples which are not written in the mark scheme if they are correct
- c** DO credit answers where candidates give more than one correct answer in one prompt/numbered/scaffolded space where extended writing is required rather than list-type answers. For example, questions that require *n* reasons (e.g. State two reasons ...).
- d** DO NOT credit answers simply for using a 'key term' unless that is all that is required. (Check for evidence it is understood and not used wrongly.)
- e** DO NOT credit answers which are obviously self-contradicting or trying to cover all possibilities
- f** DO NOT give further credit for what is effectively repetition of a correct point already credited unless the language itself is being tested. This applies equally to 'mirror statements' (i.e. polluted/not polluted).
- g** DO NOT require spellings to be correct, unless this is part of the test. However spellings of syllabus terms must allow for clear and unambiguous separation from other syllabus terms with which they may be confused (e.g. Corrasion/Corrosion)

2 Presentation of mark scheme:

- Slashes (/) or the word 'or' separate alternative ways of making the same point.
- Semi colons (;) bullet points (•) or figures in brackets (1) separate different points.
- Content in the answer column in brackets is for examiner information/context to clarify the marking but is not required to earn the mark (except Accounting syllabuses where they indicate negative numbers).

3 Calculation questions:

- The mark scheme will show the steps in the most likely correct method(s), the mark for each step, the correct answer(s) and the mark for each answer
- If working/explanation is considered essential for full credit, this will be indicated in the question paper and in the mark scheme. In all other instances, the correct answer to a calculation should be given full credit, even if no supporting working is shown.
- Where the candidate uses a valid method which is not covered by the mark scheme, award equivalent marks for reaching equivalent stages.
- Where an answer makes use of a candidate's own incorrect figure from previous working, the 'own figure rule' applies: full marks will be given if a correct and complete method is used. Further guidance will be included in the mark scheme where necessary and any exceptions to this general principle will be noted.

4 Annotation:

- For point marking, ticks can be used to indicate correct answers and crosses can be used to indicate wrong answers. There is no direct relationship between ticks and marks. Ticks have no defined meaning for levels of response marking.
- For levels of response marking, the level awarded should be annotated on the script.
- Other annotations will be used by examiners as agreed during standardisation, and the meaning will be understood by all examiners who marked that paper.

Question	Answer							Marks		
1(a)	Leo Petty Cash Book							10		
	Total received	Date	Details		Total paid	Travel	Office expenses		Ledger accounts	
	\$	2021			\$	\$	\$		\$	
	48	Apr	1	Balance b/d	(1)					
	152			Bank	(1)					
			5	Office cleaning	(1)	21	21			
			7	Train ticket	(1)	13	13			
			13	Hunter	(1)	72			72	
	11		18	Taxi fare	(1)	14	14			
			25	Conrad	(1)					
						120	27		21	72
						91				
211		30	Balance c/d		211					
91	May	1	Balance b/d	(1)OF						
+ (1) dates + (1) OF totalling analysis columns										

Question	Answer	Marks
1(b)(i)	Travel – general ledger (1) Hunter – purchases ledger (1)	2
1(b)(ii)	Duality (1)	1
1(c)	To remind Leo to pay the balance (1) To allow Leo to check his records (1) To provide a summary of the transactions for the month/period (1) Accept other valid points Max (2)	2
1(d)	Advantages Do not need to keep as much cash on the premises (1) Less risk of theft or fraud (1) Do not have to have face to face meeting to pay/save time (1) Or other relevant advantages Max (2) Disadvantages No source document immediately available (1) Still have to pay amounts below \$50 by other methods (1) May be easier / more suitable to use cheques (1) May Increase bank charges (1) Or other relevant disadvantages Max (2) Recommendation (1)	5

Question	Answer						Marks																																				
2(a)	Tej Rent payable account <table><tr><th>Date 2020</th><th>Details</th><th>\$</th><th>Date 2021</th><th>Details</th><th>\$</th></tr><tr><td>Mar 1</td><td>Balance b/d (1)</td><td>300</td><td>Feb 28</td><td>Income Statement (1)</td><td>3 900</td></tr><tr><td>Jun 30</td><td>Bank (1)</td><td>1950</td><td></td><td>Balance c/d</td><td>450</td></tr><tr><td>Nov 30</td><td>Bank (1)</td><td><u>2100</u></td><td></td><td></td><td><u>4 350</u></td></tr><tr><td></td><td></td><td><u>4350</u></td><td></td><td></td><td></td></tr><tr><td>2021 Mar 1</td><td>Balance b/d (1)OF</td><td>450</td><td></td><td></td><td></td></tr></table>						Date 2020	Details	\$	Date 2021	Details	\$	Mar 1	Balance b/d (1)	300	Feb 28	Income Statement (1)	3 900	Jun 30	Bank (1)	1950		Balance c/d	450	Nov 30	Bank (1)	<u>2100</u>			<u>4 350</u>			<u>4350</u>				2021 Mar 1	Balance b/d (1)OF	450				6
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2021 Mar 1	Balance b/d (1)OF	450																																									
+ (1) dates																																											
2(b)	Tej Provision for doubtful debts account <table><tr><th>Date 2021</th><th>Details</th><th>\$</th><th>Date 2020</th><th>Details</th><th>\$</th></tr><tr><td>Feb 28</td><td>Balance c/d (7 000 × 6%) (1)</td><td>420</td><td>Mar 1 2021</td><td>Balance b/d (6 250 × 4%) (1)</td><td>250</td></tr><tr><td></td><td></td><td><u>420</u></td><td>Feb 28</td><td>Income statement (1)OF</td><td><u>170</u></td></tr><tr><td></td><td></td><td></td><td></td><td></td><td><u>420</u></td></tr><tr><td></td><td></td><td></td><td>Mar 1</td><td>Balance b/d (1)OF</td><td>420</td></tr></table>						Date 2021	Details	\$	Date 2020	Details	\$	Feb 28	Balance c/d (7 000 × 6%) (1)	420	Mar 1 2021	Balance b/d (6 250 × 4%) (1)	250			<u>420</u>	Feb 28	Income statement (1)OF	<u>170</u>						<u>420</u>				Mar 1	Balance b/d (1)OF	420	4						
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			Mar 1	Balance b/d (1)OF	420																																						

Question	Answer	Marks
2(c)	Matching (1) Accept 'Accruals'	1
2(d)(i)	Revenue is regarded as being earned (1) when title to the goods is passed (1) The profit on sales is not recognised until it is earned (1) Profit is recognised when earned not when payment is received (1) Profit is earned when the sale is completed/legal title passes (1) No profit is recognised when goods are ordered (1) Accept other valid points. Max (2)	2
2(d)(ii)	To ensure that profits/trade receivables are not overstated (1) To ensure that trade receivables are shown at a realistic amount in the statement of financial position (1) Profits and assets are reduced when the provision for doubtful debts is increased/profits and assets are increased when the provision is reduced (1) Accept other valid points Max (2)	2

Question	Answer	Marks
2(e)	Advantages Will encourage customers to pay earlier (1) May increase liquidity/cash flow (1) May reduce administration time/costs (1) Or other relevant advantages Max (2) Disadvantages Good relationships with customers will be damaged (1) May lose customers/sales may reduce (1) May incur extra costs to attract customers/advertising/marketing (1) Or other relevant disadvantages Max (2) Recommendation (1)	5

Question	Answer	Marks																																																			
3(a)	HV Limited Income Statement for the year ended 31 March 2021 <table> <tr> <td></td><td style="text-align: right;">\$</td><td style="text-align: right;">\$</td></tr> <tr> <td>Revenue</td><td></td><td style="text-align: right;">145 000</td></tr> <tr> <td>Cost of sales</td><td></td><td></td></tr> <tr> <td>Opening inventory</td><td style="text-align: right;">5 820</td><td></td></tr> <tr> <td>Purchases</td><td style="text-align: right;"><u>64 900</u></td><td></td></tr> <tr> <td></td><td style="text-align: right;">70 720</td><td></td></tr> <tr> <td>Less Closing inventory</td><td style="text-align: right;"><u>6 090</u></td><td></td></tr> <tr> <td></td><td></td><td style="text-align: right;"><u>64 630 (1)</u></td></tr> <tr> <td>Gross profit</td><td></td><td style="text-align: right;">80 370 (1)OF</td></tr> <tr> <td>Less Expenses</td><td></td><td></td></tr> <tr> <td>Rent and insurance (9 280 (1) – (2/3 × 1 800) (1))</td><td style="text-align: right;">8 080</td><td></td></tr> <tr> <td>Wages (24 750 + 2 250)</td><td style="text-align: right;">27 000 (1)</td><td></td></tr> <tr> <td>Operating expenses</td><td style="text-align: right;">8 500</td><td></td></tr> <tr> <td>Depreciation of Fittings (20% × (200 000 – 72 000))</td><td style="text-align: right;"><u>25 600 (1)</u></td><td style="text-align: right;"><u>69 180</u></td></tr> <tr> <td>Profit from operations</td><td></td><td style="text-align: right;">11 190</td></tr> <tr> <td>Debenture interest</td><td></td><td style="text-align: right;"><u>1 200 (1)</u></td></tr> <tr> <td>Profit for the year</td><td></td><td style="text-align: right;"><u>9 990 (1)OF</u></td></tr> </table>		\$	\$	Revenue		145 000	Cost of sales			Opening inventory	5 820		Purchases	<u>64 900</u>			70 720		Less Closing inventory	<u>6 090</u>				<u>64 630 (1)</u>	Gross profit		80 370 (1)OF	Less Expenses			Rent and insurance (9 280 (1) – (2/3 × 1 800) (1))	8 080		Wages (24 750 + 2 250)	27 000 (1)		Operating expenses	8 500		Depreciation of Fittings (20% × (200 000 – 72 000))	<u>25 600 (1)</u>	<u>69 180</u>	Profit from operations		11 190	Debenture interest		<u>1 200 (1)</u>	Profit for the year		<u>9 990 (1)OF</u>	8
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Question	Answer	Marks																																										
3(b)	HV Limited Statement of Changes in Equity for the year ended 31 March 2021 <table><tr><th>Details</th><th>Ordinary share capital</th><th>General Reserve</th><th>Retained earnings</th><th>Total</th><th></th></tr><tr><td></td><td>\$</td><td>\$</td><td>\$</td><td>\$</td><td></td></tr><tr><td>On 1 April 2020</td><td>70 000</td><td></td><td>21 500</td><td>91 500</td><td>(1)</td></tr><tr><td>Profit for the year</td><td></td><td></td><td>9 990</td><td>9 990</td><td>(1)OF</td></tr><tr><td>Dividend paid</td><td></td><td></td><td>(5 600)</td><td>(5 600)</td><td>(1)</td></tr><tr><td>Transfer to general reserve</td><td></td><td>2 000</td><td>(2 000)</td><td></td><td>(1)</td></tr><tr><td>On 31 March 2021</td><td>70 000</td><td>2 000</td><td>23 890</td><td>95 890</td><td>(1)OF</td></tr></table>	Details	Ordinary share capital	General Reserve	Retained earnings	Total			\$	\$	\$	\$		On 1 April 2020	70 000		21 500	91 500	(1)	Profit for the year			9 990	9 990	(1)OF	Dividend paid			(5 600)	(5 600)	(1)	Transfer to general reserve		2 000	(2 000)		(1)	On 31 March 2021	70 000	2 000	23 890	95 890	(1)OF	5
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Dividend paid			(5 600)	(5 600)	(1)																																							
Transfer to general reserve		2 000	(2 000)		(1)																																							
On 31 March 2021	70 000	2 000	23 890	95 890	(1)OF																																							
3(c)	Return on Capital employed = $\frac{11\,190\text{ (1)OF}}{(95\,890\text{ OF} + 30\,000)\text{ (1)OF}} \times \frac{100}{1} = 8.89\%\text{ (1)OF}$	3																																										
3(d)	There is a fixed rate of dividend on preference shares (1): the dividend on ordinary shares may vary (1) There are higher risks and rewards for ordinary shares (1) than there are for preference shares (1) Ordinary shares normally carry voting rights (1): preference shares do not (1) Ordinary shares are part of the equity of the company (1). Redeemable preference shares are a non-current liability and non-redeemable preference shares are part of the equity (1). If the company is wound up, preference shares are repaid before ordinary shares(1)/ordinary shares are repaid after preference shares (1) Preference shares receive the dividend first (1) ordinary shares receive the dividend after the preference shares (1) Accept other valid points Must be two contrasting statements Max (4)	4																																										

Question	Answer	Marks																																				
4(a)	RIA Music Club Subscriptions account <table><tr><th>Date 2020</th><th>Details</th><th>\$</th><th>Date 2020</th><th>Details</th><th>\$</th></tr><tr><td>Jan 1</td><td>Balance b/d (1)</td><td>5 215</td><td>Jan 1</td><td>Balance b/d (1)</td><td>1 200</td></tr><tr><td>Dec 31</td><td>Income and expenditure (1)OF</td><td>37 465</td><td>Dec 31</td><td>Bank (1)</td><td>36 700</td></tr><tr><td></td><td>Balance c/d</td><td>1 050</td><td></td><td>Balance c/d</td><td>5 830</td></tr><tr><td></td><td></td><td><u>43 730</u></td><td></td><td></td><td><u>43 730</u></td></tr><tr><td>2021 Jan 1</td><td>Balance b/d (1)</td><td>5 830</td><td>2021 Jan 1</td><td>Balance b/d (1)</td><td>1 050</td></tr></table>	Date 2020	Details	\$	Date 2020	Details	\$	Jan 1	Balance b/d (1)	5 215	Jan 1	Balance b/d (1)	1 200	Dec 31	Income and expenditure (1)OF	37 465	Dec 31	Bank (1)	36 700		Balance c/d	1 050		Balance c/d	5 830			<u>43 730</u>			<u>43 730</u>	2021 Jan 1	Balance b/d (1)	5 830	2021 Jan 1	Balance b/d (1)	1 050	6
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2021 Jan 1	Balance b/d (1)	5 830	2021 Jan 1	Balance b/d (1)	1 050																																	
4(b)	RIA Music Club Total shop trade payables account <table><tr><th>Date 2020</th><th>Details</th><th>\$</th><th>Date 2020</th><th>Details</th><th>\$</th></tr><tr><td>Dec 31</td><td>Purchases returns (1)</td><td>1 710</td><td>Jan 1</td><td>Balance b/d (1)</td><td>4 275</td></tr><tr><td></td><td>Bank (1)OF</td><td>31 975</td><td>Dec 31</td><td>Purchases (1)</td><td>34 200</td></tr><tr><td></td><td>Balance c/d (1)</td><td>4 990</td><td></td><td>Interest (1)</td><td>200</td></tr><tr><td></td><td></td><td><u>38 675</u></td><td></td><td></td><td><u>38 675</u></td></tr><tr><td></td><td></td><td></td><td>2021 Jan 1</td><td>Balance b/d</td><td>4 990</td></tr></table>	Date 2020	Details	\$	Date 2020	Details	\$	Dec 31	Purchases returns (1)	1 710	Jan 1	Balance b/d (1)	4 275		Bank (1)OF	31 975	Dec 31	Purchases (1)	34 200		Balance c/d (1)	4 990		Interest (1)	200			<u>38 675</u>			<u>38 675</u>				2021 Jan 1	Balance b/d	4 990	6
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		<u>38 675</u>			<u>38 675</u>																																	
			2021 Jan 1	Balance b/d	4 990																																	
4(c)	Sales revenue = cost of sales + 20% Cost of sales = 34 200 – 1 710 = 32 490 (1) Sales revenue = 32 490 + 20% = 32 490 + 6 498 (1)OF = 38 988 (1)OF Alternative calculation <table><tr><td>Cost of sales</td><td>32 490 (1)</td></tr><tr><td>Gross profit 20%</td><td>6 498 (1)OF</td></tr><tr><td>Sales revenue</td><td><u>38 988 (1)OF</u></td></tr></table>	Cost of sales	32 490 (1)	Gross profit 20%	6 498 (1)OF	Sales revenue	<u>38 988 (1)OF</u>	3																														
Cost of sales	32 490 (1)																																					
Gross profit 20%	6 498 (1)OF																																					
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Question	Answer	Marks
4(d)	Benefits of renting out the premises Extra income would be generated by renting out the premises (1) Extra funds would be raised if the club is not fully used (1) May increase the opportunity to recruit new members (1) May increase the levels of shop trade to additional customers/increase shop profit (1) Or other relative benefits Max 2 Disadvantages Income from existing members may fall/members may leave the club (1) The facilities to members may be reduced (1) Expenses may be increased (1) Alternatives to renting out the premises Extra funds could be raised by increasing subscriptions/charging interest on overdue subscriptions/fund raising/increasing the mark-up on the sales of shop goods (1) Expenses may be reduced (1) Or other relative disadvantages/alternatives Max (2) Recommendation (1)	5

Question	Answer						Marks
5(a)	Error	Entries required to correct the error					9
		Debit		Credit			
		Account	\$	Account	\$		
	Cash drawings, \$200, had been omitted from the drawings account.	Drawings	200	Suspense	200		
	A petty cash book payment, \$31, to Abel, a supplier, had been recorded in the column for office expenses.	Abel	31 (1)	Office expenses	31 (1)		
	Sales returns, \$105, had been correctly entered in the customer's account but had been credited to the purchases returns account.	Sales returns	105 (1)	Suspense	210 (1)		
		Purchases returns	105 (1)				
	A payment for motor expenses, \$72, had been recorded in the motor expenses account as \$172.	Suspense	100 (1)	Motor expenses	100 (1)		
A purchase invoice, \$102, from Abel, had been debited to Abel and credited to purchases.	Purchases	204 (1)	Abel	204 (1)			

Question	Answer	Marks															
5(b)	Kia Suspense account <table><tr><td>Date 2021 April 30</td><td>Details Trial balance difference Motor expenses</td><td>(1)OF (1)</td><td>\$ 310 100 <u>410</u></td><td>Date 2021 April 30</td><td>Details Drawings Sales returns Purchases returns</td><td>(1) (1) (1)</td><td>\$ 200 105 <u>105</u> <u>410</u></td></tr></table>	Date 2021 April 30	Details Trial balance difference Motor expenses	(1)OF (1)	\$ 310 100 <u>410</u>	Date 2021 April 30	Details Drawings Sales returns Purchases returns	(1) (1) (1)	\$ 200 105 <u>105</u> <u>410</u>	5							
Date 2021 April 30	Details Trial balance difference Motor expenses	(1)OF (1)	\$ 310 100 <u>410</u>	Date 2021 April 30	Details Drawings Sales returns Purchases returns	(1) (1) (1)	\$ 200 105 <u>105</u> <u>410</u>										
5(c)	<table><tr><td></td><td>\$</td><td></td></tr><tr><td>Original balance</td><td>327</td><td></td></tr><tr><td>Purchases</td><td>204</td><td>(1)</td></tr><tr><td>Office expenses</td><td><u>(31)</u></td><td>(1)</td></tr><tr><td>Corrected balance</td><td><u>500</u></td><td>(1)OF</td></tr></table>		\$		Original balance	327		Purchases	204	(1)	Office expenses	<u>(31)</u>	(1)	Corrected balance	<u>500</u>	(1)OF	3
	\$																
Original balance	327																
Purchases	204	(1)															
Office expenses	<u>(31)</u>	(1)															
Corrected balance	<u>500</u>	(1)OF															
5(d)	The principle of materiality was applied (1). The cost of the calculator was an immaterial amount (1) The cost of recording the calculator as a non-current asset would have outweighed the benefit (1) The amount of depreciation would be insignificant (1) The calculator may not last over 12 months (1) Accept other valid points Max (3)	3															